Intraday traders can plan better to trade in futures as they don't have to worry about gaps. There is a slight possibility of gaps even at the intraday level (especially at crucial levels), but these gaps are small and easily managed.

All the intraday trading rules discussed in chapter-6 are still applicable if you are taking trades in the futures segment. The two major essential rules are – 1) Not to lose more than 2% of the capital on any trade and 2) Not to lose more than 10% of the capital on any trading day.

Options – Welcome to the Most Versatile Trading World

An option is a contract that gives the right to BUY or SELL an underlying stock/index at a specific price (known as 'strike price') within a deadline (known as 'Expiry').

Assume you buy a contract to buy XYZ shares at 100 by the end of the month.

Then you are not obligated to buy XYZ shares at 100, but you retain the right (to buy) till the end of the month. Hence, it is called an "option" rather than being "mandatory."

However, this right comes with a small fee which is called "**Premium**."

There are two types of contracts:

1) **Call Options (CE)** – It allows you to buy a stock at a specified price within the expiry
2) **Put Options (PE)** – It allows for selling a stock at a specified price within the expiry